

The Information Daily Briefing — 2026-07-31

Coverage window: Stories published by *The Information* in the ~24 hours to the morning of 31 July 2026 (GMT+8). **Sources:** *The Information* newsletters delivered to Gmail (Dealmaker, Applied AI, AI Agenda, The Electric, The Briefing, The Information AM, Google News edition) cross-checked against the logged-in feed at theinformation.com.

Top Stories — What / Why / When / Which / How

1. Nscale marches toward an IPO despite the AI selloff

- **What:** Nvidia-backed UK AI cloud provider Nscale is meeting investors and has scheduled a New York investor day next week, with an IPO possible as soon as this fall at a floated ~\$25B valuation (up from \$14.6B in March). It is also buying software startup Anyscale for \$1.6B.
- **Why:** An IPO would fund Nscale's blistering US expansion — it still needs tens of billions to build out the West Virginia "American Intelligence & Power" data-center complex it agreed to buy, which it projects will triple 2027 revenue to \$30B. The listing is a live test of investor appetite for neoclouds after a sharp selloff.
- **When:** Investor day next week; IPO targeted for fall 2026 (could be delayed); Anyscale deal announced Thursday (Jul 30).
- **Which:** Nscale, Nvidia, Anyscale, Goldman Sachs & JP Morgan (underwriters), CoreWeave (comp, -25% in a month), Sharon AI (-42% in a month), Lambda and Crusoe (peers weighing IPOs); backers 8090 Industries, Citadel, Jane Street; board members Sheryl Sandberg and Nick Clegg.
- **How:** Raised >\$6B in equity and debt; following the CoreWeave playbook (which bought Weights & Biases for \$1.7B pre-IPO). Neocloud comps have cratered recently, which could weigh on the mooted valuation.
- **Link:** The Dealmaker — <https://www.theinformation.com/newsletters/dealmaker>

2. Meta's compute hesitation — profit falls as AI capex nearly doubles

- **What:** Meta's Q2 operating profit fell 8% even as revenue grew 28% to \$60.8B; capex nearly doubled to ~\$30B (about half of revenue), free cash flow collapsed 91% to just under \$800M, and operating margin dropped 10 points to 31%.
- **Why:** A 55% surge in total costs (to \$42B, including \$2.4B legal charges and \$1.2B severance from ~8,000 May job cuts) plus soaring AI infrastructure spend. Zuckerberg remains publicly undecided on whether to rent out spare compute — he says "selling intelligence" carries higher margins than "selling compute."
- **When:** Q2 (three months ended June 30); reported Jul 29-30; shares fell 7-10% after hours.
- **Which:** Meta (Facebook/Instagram/WhatsApp); contrast with Microsoft (cost discipline). Four US states are seeking as much as \$1.4T in youth-safety penalties (Meta disputes the figure).
- **How:** 2026 capex guidance narrowed to \$130-145B (low end raised \$5B). Investors are penalizing spend-without-cloud-revenue; the legal tail is a growing overhang.
- **Link:** The Briefing — <https://www.theinformation.com/newsletters/the-briefing/wall-street-sends-google-message> · Meta Q2 results — <https://investor.atmeta.com/investor-news/press-release-details/2026/Meta-Reports-Second-Quarter-2026-Results/default.aspx>

3. Microsoft rewarded for discipline — but new Copilot security flaws surface

- **What:** Microsoft posted June-quarter revenue up 18% to \$90B with headcount down 2%; Copilot for Office 365 paid seats doubled to 30M and Azure growth accelerated to 43%. Separately, researchers disclosed multiple Copilot vulnerabilities that could trick the AI into leaking any file or email across a customer's Microsoft 365.
- **Why:** Cost "efficiencies" and a pledge not to burn cash over the next 12 months contrasted sharply with Meta and Google, sending shares up as much as 17%. But the security flaws show even the

most sophisticated AI vendors are exposed — undercutting Nadella’s pitch that Copilot is safer than ChatGPT/Claude.

- **When:** Earnings Wednesday (Jul 29); Rubrik disclosed one flaw to Microsoft in April (since patched); a second flaw (different firm) may be unpatched and details are being withheld.
- **Which:** Microsoft, Copilot, Rubrik; context: OpenAI’s rogue agent hacking Hugging Face and Anthropic’s Mythos/Claude Code breaches. Azure vs Google Cloud (+82%).
- **How:** Attack rides in malicious code inside a Word document uploaded to Copilot, escaping the sandbox to exfiltrate data — invisible in standard logs. Affects all of Copilot’s 20M+ corporate customers. Microsoft is launching its own “red-team agent” security product to rival Anthropic’s Mythos.
- **Link:** Applied AI — <https://www.theinformation.com/newsletters/applied-ai>

4. Google’s capex reckoning — first-ever cash burn, TPU offensive, a “Frozen” chip

- **What:** Alphabet reported its first quarterly cash burn as a public company on climbing AI data-center capex; Wall Street erased the stock’s entire 2026 gain in one session. Google is pushing TPUs to lure Nvidia’s most loyal customers, planning a new efficiency-focused “Frozen” chip, and using Wall Street financing techniques to grow chip sales off balance sheet.
- **Why:** Google Cloud revenue is rocketing (+82% in the quarter) but the cost of the AI buildout is rising just as fast, forcing creative financing to keep the chip business expanding without every dollar hitting the balance sheet.
- **When:** Post-earnings, week of Jul 27–30 (Google News special edition Jul 30).
- **Which:** Alphabet/Google, DeepMind (Hassabis’ AI-standards/governance push gaining support), Waymo (loosening its Uber dependence), Nvidia (target of the TPU “ground war”), Broadcom (typical TPU intermediary).
- **How:** Aggressive TPU sales, off-balance-sheet/structured financing, and a talent war to define what comes after Gemini.
- **Link:** TPU ground war — <https://www.theinformation.com/newsletters/ai-infrastructure/behind-googles-tpu-ground-war-lure-nvidias-loyal-customers> · “Frozen” chip — <https://www.theinformation.com/articles/google-plans-new-frozen-chip-run-ai-models-efficiently> · Financing techniques — <https://www.theinformation.com/articles/google-using-wall-street-financing-techniques-expand-chip-sales>

5. Server-networking boom drives \$300M into Xsight at a \$2.8B valuation

- **What:** Nine-year-old Israeli server-networking and storage-chip maker Xsight raised \$300M at a \$2.8B valuation, led by Fidelity, with Atreides (Gavin Baker), Valor Equity Partners, Battery Ventures and Intel Capital.
- **Why:** As GPUs proliferate, the networking and storage gear that connects them has become a bottleneck and an investment magnet — AI data-center networking revenue could grow from ~\$15B this year to ~\$150B by 2028 (Goldman Sachs estimate).
- **When:** Announced exclusively Jul 30; first major raise in five years.
- **Which:** Xsight; incumbents Broadcom, Nvidia and Marvell (networking) and AMD, Intel, Nvidia (storage); recent comps Eliyan (\$1B) and Upscale AI (\$2B). Customer: SpaceX (Starlink satellites). Supplier tie: TSMC.
- **How:** Highly programmable Ethernet switches and DPUs pitched as competitive on power and cost; chairman Avigdor Willenz’s rare direct TSMC allocation relationship is an edge.
- **Link:** AI Agenda — <https://www.theinformation.com/newsletters/ai-agenda>

6. TSMC develops advanced packaging to counter Intel

- **What:** TSMC is developing an advanced chip-packaging technology similar to what Intel already offers — a sign the world’s leading foundry is worried about competition from a distant rival.
- **Why:** Packaging, once routine, is now one of the industry’s most pressing bottlenecks as AI pushes designers to combine more processors and high-bandwidth memory into ever-larger packages.
- **When:** Reported Jul 30 (per two people with direct knowledge).

- **Which:** TSMC, Intel; read-through to every AI chip designer dependent on advanced packaging capacity.
- **How:** TSMC is building a competing packaging approach to protect its dominance across the final, increasingly critical stage of AI chip production.
- **Link:** <https://www.theinformation.com/articles/tsmc-develops-ai-chip-packaging-tech-counter-intel>

7. Flying-taxi makers say safe eVTOLs will ultimately have to be pilotless

- **What:** eVTOL CEOs argue that if flying taxis crowd low-altitude skies, autonomy — not human pilots — will be the safer way to manage traffic, and removing pilots also boosts capacity and margins.
- **Why:** Autonomy would let makers add seats (Eve: 4→6 passengers, +50% capacity) and cut costs, lowering ticket prices — but US regulators, who have certified no eVTOLs yet, are likely to be even stricter on pilotless craft, and passengers may resist.
- **When:** Forward-looking; China’s EHang already flies paid passengers on fixed routes today and is pursuing Mexican certification.
- **Which:** EHang (China, commercial), Joby Aviation, Archer Aviation, Beta Technologies, Vertical Aerospace (UK), Eve Air Mobility (Embraer subsidiary).
- **How:** Ideas floated include computers handling takeoff/landing first, retiring 30-year-old piloted aircraft, and running eVTOLs in a separate low-altitude lane outside FAA air-traffic control.
- **Link:** The Electric — <https://www.theinformation.com/newsletters/the-electric>

8. Also moving — talent, revenue and policy

- **Thinking Machines cofounder returns to OpenAI:** Lilian Weng is rejoining OpenAI to work on recursive self-improvement — the fourth cofounder to leave Mira Murati’s startup (raised \$2B from Nvidia and a16z, valued \$10B, shipped open-source multimodal model “Inkling”). Link: <https://www.theinformation.com/briefings/thinking-machines-cofounder-return-openai>
- **OpenAI revenue accelerating:** CFO Sarah Friar told staff July added more annualized revenue than the prior three months combined, as OpenAI chases Anthropic. Link: <https://www.theinformation.com/briefings/openai-cfo-says-revenue-growth-accelerated-july>
- **Robinhood:** Q2 revenue \$1.31B (+32%); prediction-market revenue jumped >10x to \$156M, surpassing crypto (\$100M).
- **Apple under pressure:** US senators urged Apple not to buy memory from China’s CXMT and YMTC on national-security grounds.
- **Deal watch:** Stripe may buy OpenRouter for close to \$10B (~70x annualized revenue). Link: <https://www.theinformation.com/articles/openrouter-financials-suggest-steep-price-possible-acquirer-stripe>
- **Reach:** ChatGPT is nearing 1 billion weekly active users. Nvidia-backed Reflection AI is “playing catch-up” in open-source AI. Link: <https://www.theinformation.com/articles/nvidia-bet-reflection-open-source-ai-now-startup-playing-catch>

Overall Market Summary — Trend, Development, Sentiment

Trend. The dominant story of the last 24 hours is a widening divide between AI *spenders* and AI *disciplinarians*. Meta and Alphabet are being punished for capex that is outrunning cash generation — Meta’s free cash flow fell 91% and Alphabet posted its first-ever quarterly cash burn — while Microsoft was rewarded (shares up as much as 17%) for wringing “efficiencies” out of its own large AI investment and promising not to burn cash. The same week, private “neocloud” and AI-infrastructure names (Nscafe, Xsight, Eliyan, Upscale AI) are still raising and pricing at rich valuations, even as public comps like CoreWeave (−25% in a month) and Sharon AI (−42%) sell off. Capital is abundant for the picks-and-shovels layer, but public markets are starting to demand a return on it.

Development. The center of gravity is moving down the stack — from models to the physical and financial plumbing of AI. Networking and storage silicon (Xsight, Broadcom, Marvell) and advanced packaging (TSMC

vs. Intel) are the new bottlenecks and fundraising magnets. Financing is getting creative: Google is using Wall Street structuring to keep chip sales off its balance sheet, and data-center developers are seeking bridge loans before tenants sign. Meanwhile the safety bill for the AI boom is coming due — Copilot’s leak-prone flaws, the Hugging Face hack, and Anthropic’s breaches show security is lagging deployment.

Sentiment. Cautious and increasingly discriminating. The “jittery stock market” backdrop and neocloud drawdowns signal fatigue with unbounded AI spending, yet genuine demand indicators remain strong (OpenAI revenue re-accelerating, ChatGPT nearing 1B WAU, Microsoft 365 Copilot seats doubling to 30M, Azure +43%, Google Cloud +82%). Net: investors still believe in AI demand but are now separating companies that can *monetize and control costs* from those still writing checks on faith.

Key Questions & Risks

- **Can capex convert to cash?** Meta and Alphabet must show AI spend translates into durable revenue and margins. Meta’s unresolved “rent out compute or not” indecision and Alphabet’s off-balance-sheet financing both raise quality-of-earnings questions.
 - **Is the neocloud IPO window real or closing?** Nscale’s \$25B pitch lands amid a 25–42% drawdown in listed comps. A weak reception would chill Lambda, Crusoe and the broader private AI-infra pipeline; a strong one reopens it.
 - **Who wins the accelerator war?** Google’s TPU offensive and new “Frozen” chip directly target Nvidia’s customer base; TSMC’s packaging move against Intel reshuffles the supply chain. Nvidia’s stock is described as “priced for everything to go wrong.”
 - **Is enterprise AI safe enough to trust?** Copilot’s data-leak flaws — invisible in logs, affecting 20M+ customers — plus rival breaches could slow enterprise adoption or shift budget toward security tooling.
 - **How big is Meta’s legal tail?** A theoretical \$1.4T youth-safety penalty is almost certainly not the realistic outcome, but even a fraction would be material and adds earnings uncertainty.
 - **Geopolitics and supply chain:** Senate pressure on Apple over Chinese memory (CXMT, YMTC) and China’s homegrown DUV tooling underscore escalating chip-nationalism risk.
 - **Autonomy/regulatory risk:** eVTOL economics may hinge on pilotless flight that US regulators have not remotely approved and passengers may reject — a long-dated, binary risk for Joby, Archer and peers.
-

Investment Implications

The following are observations drawn from the companies directly named in today’s coverage. This is informational only and not investment advice; it is not a recommendation to buy or sell any security. Do your own research or consult a licensed advisor.

Large-cap public names in focus - Microsoft (MSFT): Positioned as the “disciplined spender” — 18% revenue growth, 30M Copilot seats, Azure +43%, no cash burn. Offsetting overhang: the disclosed Copilot security flaws could pressure enterprise trust and invite scrutiny. - **Meta (META):** Margin compression, 91% FCF drop, \$130–145B capex guide and a large legal overhang; the market is signalling it wants monetization or restraint. High sensitivity to any decision on renting compute. - **Alphabet (GOOGL):** First public-company cash burn erased 2026 gains, but Cloud +82% and a credible TPU/“Frozen”-chip roadmap are strategic positives; off-balance-sheet financing is a quality-of-earnings watch item. - **Nvidia (NVDA):** Simultaneously the ecosystem’s biggest winner (backer of Nscale, Thinking Machines, Reflection) and the target of Google’s TPU push and new networking entrants; sentiment is stretched (“priced for everything to go wrong”). - **TSMC (TSM):** Advanced-packaging leadership is the AI supply chain’s critical bottleneck; the Intel-countering move defends its moat but signals competitive pressure. - **Intel (INTC):** Packaging leadership being copied validates its technology; also an investor in Xsight via Intel Capital — a modest strategic positive against a tough backdrop. - **Broadcom (AVGO) & Marvell (MRVL):** Direct benefi-

ciaries of the networking boom (Goldman sees the segment scaling \$15B→\$150B by 2028); Broadcom also central to third-party TPU production. - **AMD (AMD)**: Named among storage-hardware leaders for AI servers — leveraged to the same buildout. - **Apple (AAPL)**: Political pressure to avoid Chinese memory suppliers could raise component costs or complicate sourcing. - **Robinhood (HOOD)**: Q2 revenue +32%; prediction markets (+10x to \$156M) are now a bigger line than crypto — a new growth vector. - **Embraer (ERJ) and eVTOL pure-plays — Joby (JOBY), Archer (ACHR), Vertical Aerospace (EVTL), EHang (EH)**: Capital-intensive, autonomy- and regulation-dependent; EHang is furthest along commercially, Western players face a longer, binary certification path.

Private / IPO-pipeline read-throughs - Neocloud IPO watch: Nscale (fall IPO, ~\$25B), Lambda and Crusoe — reception will hinge on listed comps CoreWeave and Sharon AI, both down sharply. Underwriters **Goldman Sachs (GS)** and **JP Morgan (JPM)** are exposed to the AI IPO fee pipeline. - **AI-infra private raises**: Xsight (\$2.8B), Eliyan (\$1B), Upscale AI (\$2B), Anyscale (\$1.6B acquisition by Nscale) confirm capital is still flowing to networking/orchestration layers even amid public-market caution. - **Model labs**: OpenAI (revenue re-accelerating, ChatGPT ~1B WAU), Anthropic (leading on revenue but hit by breaches), Thinking Machines (cofounder churn) — the talent and revenue race is intensifying, with implications for their strategic backers (Nvidia, a16z, Microsoft). - **Payments/M&A**: A possible Stripe–OpenRouter deal near \$10B (~70x revenue) signals continued premium pricing for AI-routing infrastructure.

Prepared automatically for The Information Daily. Figures and quotes are as reported by The Information and company disclosures for the 24 hours to 31 July 2026 (GMT+8).